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CHAPTER 5

Hong Kong as an Economic Miracle? The Myth of Laissez-Faire and Industrialization

I think there is a straightforward reason for our success … in Hong Kong, government provides the framework for a free-enterprise system to operate efficiently, while the entrepreneurial flair and hard work of a highly motivated immigrant population enable them to take full advantage of its opportunities.
—Dunn, *1996*.
If you want to see capitalism in action, go to Hong Kong.
—Friedman & Friedman, *1990*, p. 34.

1 Introduction

Hong Kong's successful transformation from an entrepot to an industrial city is now well known. The tale that Hong Kong's postwar economic miracle has been due to the colonial state's laissez-faire economic policy has also been told times and again (Friedman & Friedman, 1990; Rabushka, 1979; Riedel, 1974). The story has been so persuasive that not only did many colonial officers come to believe laissez-faire to be the secret of their success, it also convinced a Nobel laureate of economics to praise Hong Kong as a classic example of free-market capitalism.

Under such circumstances, it is easy to overlook the point that, like many other public policies, laissez-faire can also be a political product (if

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not an artifice) used to justify the colonial economic policy that often rewarded the privileged few. This chapter takes a fresh look at the "Hong Kong economic miracle", by going beyond the narrative of laissez-faireism. It does so by challenging two *standard-definition* myths, which are:

1. Hong Kong was the laboratory of a laissez-faire economy and society;
2. Laissez-faire was the basis for Hong Kong's prosperity.

We will first briefly review the laissez-faire economic doctrine, how it became associated with Hong Kong's post-war economic transformation and then the conventional way to explain her economic success. Then we will proceed to our *high-definition* investigation into Hong Kong's economic history by asking: *Was Hong Kong really a case of laissez-faire? Was laissez-faire adopted for a good reason? What really made the Hong Kong miracle?* We will conclude by assessing Hong Kong's particular mode of industrialization and its consequences for Hong Kong's post-colonial economy.

The core argument of this chapter is that laissez-faire was largely a myth created by the colonial government to justify its *political strategy* towards Hong Kong. Far from laissez-faireism, empirical evidence shows the colonial government selectively intervened in many sectors of the Hong Kong economy. Its decision to intervene in certain sectors was a product of political calculation shaped by the local governing structure and regional/global geo-political contexts. The unique form of Hong Kong's postwar industrialization has had a lasting effect on the manufacturing industry's (in)ability to upgrade itself and remain competitive.

2 Laissez-Faire and the Hong Kong Experiment

It is worth noting that the story associating Hong Kong's economic miracle with laissez-faire did not emerge when laissez-faireism was at its pinnacle in Britain between the 1840s and 1860s (Fine, 1964; Jones, 1977). Rather, it was a century later, during the early 1960s when Hong Kong was undergoing industrialization, that laissez-faire re-emerged as an influential explanation for Hong Kong's postwar prosperity. This immediately poses a puzzle: why was there a hundred-year delay in linking Hong Kong's economic miracle and laissez-faire? The answer is timing. Indeed, historical evidence shows the colonial government had mobilized laissez-faire in order to privilege trading business before World War II (Ngo,

1999, pp. 119-40). But it was not until the colonial government found laissez-faire to be a useful way to justify its political strategy to achieve social stability in Hong Kong, while at the same time neoliberal economists used the same rhetoric to discredit socialist planning during the Cold War, that the marriage between Hong Kong and laissez-faire was consummated.

2.1 Milton Friedman and the Hong Kong Experiment

As Hui (1998) suggests, the diffusion of the "free market" idea in Hong Kong could not have succeeded without the help of local neoliberal economists. While examining the connection between Hong Kong's economic miracle and laissez-faire, we also find similar rhetorical discourses advanced by foreign neoliberal economists. The most influential and well known among them was the winner of the Nobel Memorial Prize in Economic Sciences in 1976—Milton Friedman.

Milton Friedman (1912-2006) was a Jewish-American economist and statistician who taught at the University of Chicago for over three decades. He was one of the key mentors of the so-called "Chicago Boys"– a group responsible for implementing neoliberalist's doctrine, such as market deregulation, in the Latin Americas since the 1970s.[1] He spent decades campaigning on the policy known as monetarism, which was adopted by the U.S. Federal Reserve and the Bank of England in the late 1970s (Krugman, 2007). He was an economic advisor to U.S. President Ronald Reagan in the 1980s and played a key role in shaping the so-called "Washington Consensus" model of development.[2] As an economist and a policy entrepreneur, Friedman was "the great populariser of the free-market doctrine" (Krugman, 2007), by spreading the idea through his economics and public policy lectures, writings and appearance on various media.

The most influential of his writings is *Free to Choose* (Friedman & Friedman, 1990), first published in January 1980, which has been

[1] The Chicago Boys generally refers to a group of young male economists, whom was trained at or had come to identify with the Department of Economics of the University of Chicago under Milton Friedman and Arnold Harberger. This group of economists generally advocated free market policies such as deregulation and privatization, along other market-friendly policies.

[2] "Washington Consensus" was coined by British economist John Williamson in a presentation addressing how Latin America could deal with their debt crisis in 1989.

translated into 14 languages and was once a bestselling nonfiction book in the United States. In 1980, after decades of the Cold War and debates over the superiority of socialist planned economy vis-a-vis free-market capitalism, the winds started to shift. Starting in the late 1970s, countries within the Soviet bloc began experiencing recession; several socialist countries (including China, the Soviet Union, and Vietnam) reformed their economies to incorporate "market elements". At the same time, the Conservative Party in the U.K. won the 1979 election and its leader and free-market follower Margaret Thatcher became the Prime Minister. The timely publishing of *Free to Choose* (along with a ten-part television series broadcast) became a popular resource to promote the free-market doctrine, to provide examples of how the free market engenders prosperity, and to demonstrate how planned economies in socialist countries do not work.

Of the many countries and cities used as examples in *Free to Choose*, Hong Kong is perhaps Friedman's favourite. We have already seen the forceful and succinct statement, which praises Hong Kong as "capitalism in action", at the beginning of this chapter. Friedman used Hong Kong in many other instances to illustrate how the free market and limited government intervention can bring about prosperity:

> Hong Kong, a Crown colony of Great Britain, should be the modern exemplar of free markets and limited government… Hong Kong has no tariffs or other restraints on international trade. … It has no government direction of economic activity, no minimum wage laws, no fixing of prices. … Hong Kong—a speck of land next to mainland China containing less than 400 square miles with a population roughly 4.5 million people. … Yet they enjoy one of the highest standards of living in all of Asia. (Friedman & Friedman, 1990, p. 34)

But Friedman was not satisfied making Hong Kong just "the best example" of the superiority of the free market policy. On the last day of 1997, five months after Hong Kong's colonial era had ended, Friedman proposed perhaps the most innovative "natural experiment" in social science history: "the Hong Kong experiment". The following is how Friedman described this experiment:

> Economists and social scientists complain that we are at a disadvantage compared with physical and biological scientists because we cannot conduct

> controlled experiments. However, the experiments that nature throws up can be every bit as instructive as deliberately contrived experiments. Take the fifty-year experiment in economic policy provided by Hong Kong between the end of World War II and this past July, when Hong Kong reverted to China. … In this experiment, Hong Kong represents the experimental treatment; Britain, Israel, and the United States serve as controls. … I believe that the only plausible explanation for the different rates of growth is socialism in Britain, free enterprise and free markets in Hong Kong. Has anybody got a better explanation? I'd be grateful for any suggestions. (Friedman, 1997)

In order for the "Hong Kong experiment" to launch, Friedman needed someone to help him conduct the experiment in Hong Kong. To his great luck, he met a Scotsman in Hong Kong in 1963, a faithful follower of free-market capitalism and, above all, having the ability to steward Hong Kong's economy in line with Friedman's vision. This Scotsman was the Financial Secretary of Hong Kong between 1961 and 1971—John Cowperthwaite (1915-2006).

What exactly did Cowperthwaite do during his ten-year stint as Financial Secretary of Hong Kong? He did away with all import and export duties; levied a flat tax on corporate profits; and set the ceiling on income tax at 15 percent. In 1963, when Hong Kong suffered a severe drought, he rejected a call from industrialists to subsidize water rates. In 1970, he abolished a prostitution tax, which was expressed as a fee per dance with a "professional dance partner". When he met Friedman in 1963, he even told the economist that he kept no statistics. He said, "If I let them [government officials] compute those statistics, they'll only use them for planning" (The Times, 2006).

Milton Friedman viewed Cowperthwaite as "a real disciple of Adam Smith" and his greatest contribution to be to demonstrate the superiority of free trade and free markets over socialism. In his obituary for Cowperthwaite, he wrote:

> [Cowperthwaite] proceeded to demonstrate by converting Hong Kong from one of the poorest countries in the world to one of the richest, thereby providing a striking refutation for the socialist cliché "free trade may be fine in theory but it won't work in practice". (Friedman, 2006b)

Above all, Cowperthwaite provided Friedman with a powerful example to attack the spread of socialist thinking in the UK shortly after the Second World War:

> At the very time shortly after World War II that Britain was embarking on an extreme socialist policy in the homeland, one of its last remaining colonies, Hong Kong, was embarking on an extreme free-market policy. By some accident of officialdom, the Colonial Office had assigned John Cowperthwaite to serve as the Financial Secretary of Hong Kong. The result: the home country strangled by socialism; the colonial possession converted into a showplace of free markets. (Friedman, 2006b)

Like Friedman, many observers today believe Hong Kong has a laissez-faire economy and society. For instance, Hong Kong is still ranked number one by the Heritage Foundation in the Index of Economic Freedom World Rankings. To many of these "Hong Kong fans", free trade, low taxes and a balanced budget, few state enterprises and the absence of an industrial policy are robust indicators supporting the view of Hong Kong as a laissez-faire paradise.

But was colonial Hong Kong indeed a laissez-faire economy and society as Friedman and many Western observers have contended? In the next section, we will step back and examine whether the claim that "colonial Hong Kong was a laissez-faire economy and society" can be substantiated by the historical evidence.

3 The Myth of Laissez-Faire

At first glance, the Index of Economic Freedom World Rankings appears to support the view that Hong Kong is the freest (thus most laissez-faire) economy in the world. However, a careful examination of the assessment components of the Index reveals another story. According to the Index in 2011, while Hong Kong ranked at the top by having the highest *overall score* that year, Hong Kong failed to be most competitive in some key components vis-à-vis other countries (e.g. Singapore). These components include government size, monetary freedom, freedom from corruption and labour freedom. Hong Kong only ranked the highest in six (out of ten) components, and most of them are related to trade, finance and business investment.

While Hong Kong's failure to achieve the highest rank in all components in the Index could be a moot point to make; afterall, it is still the second freest in the other indicators. But this prompts us to ask: Was Hong Kong's laissez-faire really across the board of all sectors industries or just in some? In what follows, we will answer this question by examining the banking, agricultural and manufacturing industries in colonial Hong Kong. After examining these industries in turn, we will return to another relevant question: Why and how did the colonial government abstain from interfering in the economy in such that it enabled neoliberal economists and government officials to exaggerate the state's non-action vis-à-vis the economy?

3.1 The Banking Industry

Our first case is Hong Kong's banking sector. While it is true that Hong Kong was "extremely liberal" in its financial regulatory arrangement and strongly adhered to the laissez-faire policy tradition in handling banking services in the pre-war era (Jao, 1974, p. 17), Hong Kong's post-war banking history shows quite a different picture, especially since the 1960s when banking crises erupted one after another.

There was no government regulation of Hong Kong's banking industry for its first hundred years under British rule. The Banking Ordinance passed in 1948 was the colonial state's first attempt to regulate banking activities with the aim of ensuring a sound banking system. It aimed specifically to require companies providing banking services to register as banks, to obtain official licenses, and to submit their annual balance sheets to the Financial Secretary. The passing of the Ordinance, as Leo Goodstadt (2005) notes, was largely due to intense local and overseas pressure on the colonial government that accused Hong Kong of being "the big leak in China's economy [that] bears the main responsibility for China's present economic and financial chaos."[3]

After the enactment of the Ordinance, Hong Kong's banking industry experienced a fairly stable development during the 1950s and very early

[3] HKRS 163-1-403 "China Trade and Commerce," (165) Letter from Chinese side, 15 August 1947 and "Memorandum of Agreement;" (289) Governor to Secretary of State for the Colonies, 10 May 1948; Colonial Secretary to Governor, 2 July 1948. The text of the treaty is reproduced in Treaty Series No. 9 (1949), Exchange of Notes…for the Prevention of Smuggling between Hong Kong and Chinese Ports (London: Cmd 7615, 1949), cited in Goodstadt (2005).

Table 5.1 Growth of Licensed Banks and Branches, 1954-2004

Year	*Number of Licensed Banks*	*Number of Branches*
1954	94	3
1959	82	13
1964	88	204
1969	73	289
1974	74	557
1979	105	906
1984	140	1407
1989	165	1377
1994	176	1464
1999	156	1490

Sources: Tai (1986, p. 2); Census and Statistics Department (various years)

1960s. The number of branches of licensed banks grew from only 3 in 1954 to 204 in 1964 (Table 5.1). Four factors accounted for this development: a) Hong Kong's attractive institutional environment to capital funds overseas, b) international banks starting to establish their representative offices in Hong Kong, c) local industrialization creating growing demand for banking services, and d) the local population's relatively high propensity to save (Jao, 1974; Chiu & Lui, 2009, p. 63). Despite enacting the Ordinance, the colonial government was reluctant to exercise its power to clean up the industry—some argued out of a political reason of not to interfere with Chinese bankers and their Chinese clients (Schenk, 2003). In some cases, even requests to use the Ordinance to close down insolvent financial institutions were rejected at the highest level of the colonial administration (Goodstadt, 2005, p. 10).

Goodstadt (2006, p.3) identified three banking clusters gradually emerged after the 1950s: the foreign-owned banks, China state-owned banks and local Chinese banks. While the China state-owned banks had a special role in Hong Kong and largely did not take part in financing the economic growth, the foreign-owned banks quickly adapted to the UN Trade Embargo by turning to finance local manufacturing industries given their prior knowledge in modern commercial banking and connections to Western markets. The local Chinese banks, operated largely as traditional family enterprises in the past with their various banking violation "tolerated" by the colonial regulators, embarked on ambitious expansion—not

in the industrial sector but property development, currency and gold trade (Goodstadt, 2006).

Two discourses surrounding the unregulated expansion of the banking industry emerged in the local economics literature (Schenk, 2006). The first argued the 'over-banking' resulted in cutthroat competition among the banks and sowed the seeds of the 1961 banking crisis. Briefly, to attract more deposits, many banks offered more lucrative interest rates to depositors; simultaneously, the roaring stock market and post-war property market bubbles also fuelled the crisis. Many banks engaged in property financing and thus were being exposed to unanticipated risks. A secondary reason argued it wasn't the excessive competition, but the linkage of the bank to family and group networks, which gave rise to insider lending practice within the group, that threatened bank's liquidity and solvency as they became more vulnerable to asset market shocks (Schenk, 2006). Together these factors generated speculation to maximize short-term profits, creating a liquidity squeeze and causing many banks to overcommit their funds to real estate projects. Consequently, the first postwar banking crisis erupted in June 1961—a bank run on the Liu Chong Hing Bank.

Liu Chong Hing Bank was founded by Liu Po Shan, a Cantonese born in 1905. Because of Japanese invasion into China, Liu went from Canton to Hong Kong in 1941 and then engaged in shipping and trading businesses, mainly for rice and groceries, in Hong Kong (Leung, 2010). After World War II, Liu observed a shortage of capital in financing Hong Kong's infrastructural projects. He thus founded "Liu Chong Hing Depository Bank" in 1948 (South China Morning Post, 1977). Interest rates of the bank was attractive to depositors (especially to local citizens), and bank investment were directed to residential and development projects. In the 1950s, as land and housing prices soared, Liu's business empire expanded swiftly. Between 1955 and 1958, apart from his bank, Liu further founded three other companies in real estate, construction and insurance sectors (Cheng & Gao, 2017, p. 60).

However, in June 1961, a rumour about Liu spread, and caused a bank run to his bank (South China Morning Post, 1961a). Many depositors went to the headquarter and branches of the bank to withdraw their savings. In the end, it was until the Financial Secretary of the Hong Kong Government at that time, Cowperthwaite asked the HSBC and the Chartered Bank of India, Australia and China to support Liu's bank then the run was ended (Schenk, 2003). A joint statement was issued by the

HSBC and the Chartered Bank showing support to Liu's bank (South China Morning Post, 1961b). However, the bank run gave a heavy blow not only to the Bank but also to Liu, who died a month after the run.

After the bank run on Liu Chong Hing Bank, the colonial government commissioned H.J Tomkins, an expert from the Bank of England, to conduct a review on Hong Kong's regulatory framework. However, as Ghose (1987, pp. 69-70) notes, the recommendations made by Tomkins were largely misplaced as they emphasized more on "the need for prudential financial management rather than on any crucial dysfunction in the banking structure of the territory" (as quoted in Chiu & Lui, 2009). By 1963 the colonial government was forced to admit, in its Banking Bill 1963, that further legislation was required to handle "a number of bankers … who have conducted and still conducting their affairs in a manner completely foreign to the tradition of sound banking. The truth is that they are not really bankers, either by experience or in practice. They regard their banks as convenient channels for securing control of the public's funds for their own speculations in land, in shares and in similar ventures, without regard to banking principles" (Cowperthwaite, 1963, p. 211, quoted in Faure & Lee, 2004). However, in 1965, just before a new Banking Ordinance, which was based on the Tomkins Report, was enacted in 1966, Hong Kong experienced another banking crisis when bank runs occurred on local Chinese banks for the same problems that had triggered the earlier crisis.

Compared to the 1961 bank run, the 1965 moratorium on the establishment of new banks had far greater consequences not only for the colonial government's attitudes towards intervention in the banking industry, but also for the whole landscape of the industry. For those Chinese banks that failed, the colonial government rescued and repaid the depositors to curb the potential for serious political unrest, yet the total deposits with local Chinese banks still dropped by 30 per cent from January to September in the 1965 bank run. The largest local Chinese bank at that time, Hang Seng Bank, was taken over by its chief competitor HSBC in April 1965. As a consequence, HSBC's monopoly position in retail banking business was consolidated. Another four smaller Chinese banks survived after the Government directly injected liquidity to them. The series of intervention signalled the end of Government's benign neglect in banking industry (Goodstadt, 2006).

In the 1967 amendments to the Banking Ordinance, the colonial government introduced reforms through new and drastic measures, which

can be viewed as pro-active intervention by the colonial government in the banking industry. According to Schenk (2003), among these measures, the most important two are: a) minimum capital requirement for establishing a bank was almost doubled from; b) there was a ban placed on the issuing of new bank licenses until 1974 (see Table 5.1).

Later in 1976, the government further passed the new Deposit Taking Companies (DTC) Ordinance. Under this new ordinance, a new classification system for banks and non-banking financial companies was introduced, leading to foreign and local non-banking institutions entering the market having to operate under the names of DTCs. The new DTC Ordinance further regulated interest rates agreement offered by DTCs, signalling the government's another intervention into the financial market (Schenk, 2003).

Although the amended Banking Ordinance was enacted in 1967, Hong Kong's regulatory framework still fell far short of international standards, particularly in the aspects of undercapitalized, illiquid, and even fraudulent banking activities (Schenk, 2003). Thus, following the relatively stable period of the 1970s, a new wave of banking crises erupted in the early 1980s. Between 1982 and 1985, many local and overseas banks (e.g. Hang Lung Bank in 1982, Overseas Trust Bank in 1985) experienced bank runs; some (e.g. the Hong Kong Industrial and Commercial Bank) collapsed. During the mid-1980s, the banking crisis reverberated, and consequently the colonial state had to "nationalize" the collapsed banks and revamp banking regulations by enacting a new Banking Ordinance in 1986 (Chiu & Lui, 2009, pp. 70-72).

With the enactment of the new Banking Ordinance and its subsequent amendments, Hong Kong could hardly claim to follow a laissez-faire policy in the banking industry. In particular, the new classification of banks and financial companies shows the colonial state regulated "differential access" to the banking industry.

3.2 Agricultural Industry

While the colonial state's intervention into the banking industry is a response to periodic crises, its intervention into the agricultural industry is evidently politically motivated. After the Chinese Communist Party seized power in mainland China in 1949, the colony's self-sufficiency in foodstuff production became an important political concern. At that time, the influx of immigrant farmers into the New Territories and the need to

supply food for the expanding urban population also aggravated the problem. To reduce dependence on mainland China, the colonial government established two marketing organizations to solve the food supply problem.[4]

Already in the early twentieth century, the rice consumed by Hong Kong's urban population was being imported from Indo-China, Burma and Thailand rather than from mainland China. However, vegetables and marine products were still imported solely from China. In this light, it is not surprising that the colonial state would encourage local vegetable production. The Vegetable Marketing Organization (VMO) formed in 1946 was one of the marketing organizations established by the colonial state to meet this objective. VMO was later reconstituted under a VMO Ordinance in 1952 to be the centralized agency to produce, collect and transport vegetables to the urban wholesale markets. The police were also given the power to stop lorries carrying vegetables without a permit issued by the VMO.

According to Chiu and Hung (1999), apart from establishing VMO, the Agriculture Department also organized an extensive network of local vegetable marketing co-operatives. Members of the co-operatives were entitled to various benefits if they submitted their vegetables to these local organizations, for instance, low interest credit and cheap fertilizers. By 1962, over 76 percent of locally grown vegetables were handled via the co-operative network. At the same time, VMO kept vegetable imports from China at a low level, which created a large demand for local products, thereby inducing the expansion of vegetable production.[5]

After establishing the marketing co-operatives, a number of other co-operatives and voluntary associations were also founded or organized one after another under state sponsorship. These included Pig-Raising

[4] In June 1965, a new market was established at Cheung Sha Wan, Kowloon. Marketing services commenced with the establishment of the wholesale vegetable markets. A total of five depots manned by VMO staff and a number of collection centres were also set up in vegetable growing districts in the New Territories. As the industry became more developed, the vegetable marketing co-operative societies were formed and took over most of the collecting centres by undertaking the work of collecting, weighing vegetables, and related documentation work. Today there are twenty-six vegetable marketing co-operative societies in Hong Kong. One vegetable depot remains in operation, providing alternative services for vegetable growers who prefer not to sell through co-operative societies. Unless otherwise stated, this section is based on Chiu and Hung (1999).

[5] The history of Vegetable Marketing Organization was abstracted from the official website of Vegetable Marketing Organization of the Hong Kong SAR Government (Vegetable Marketing Organisation, 2008).

Societies, Irrigation Societies, Cooperative Building Societies, Fish Pond Societies, and Credit and Consumers' Societies in each village. The functions of these co-operatives and associations were multi-fold including granting sums of money to farmers after a bad harvest, giving loans to new vegetable farmers and pig-raisers, and sending experts to provide technical advice to farmers (e.g. new genetically modified seeds and chemical fertilizers).

The modernization effort effectively made vegetable cultivation a profitable income for new immigrants, brought close the rural-urban gap and transformed traditional rice-land into smaller plots of farmlands which also paved the way for easier land grab later the level of state intervention in the New Territories' rural agricultural economy, while being kept at a smaller scale, was still comparable to the 1970s' Saemaul Undong or the New Village Movement in the Republic of Korea. Both were politically motivated and modernizing—albeit in the case of Hong Kong there was a strong colonial concern.

3.3 Manufacturing

The foregoing discussion of the colony's banking and agricultural industries has demonstrated how the colonial state's policy towards the Hong Kong economy has been far from laissez-faire. In fact, similar state interventions are also found in other industries such as public health, housing and gambling. As a matter of fact, the colonial state was selectively intervening in much of Hong Kong's economy; the only industry in which the government effectively practiced *selective non-intervention* was manufacturing.

According to Chiu (1996), Goodstadt (2005) and others, the colonial government abstained from intervening in manufacturing (unlike in other industries) primarily in two ways: a) it limited assistance in the form of the provision of industrial land, and b) it limited credit to manufacturers.

When manufacturing began to develop in the early 1950s, industrialists soon came up against the limited supply of industrial land available in Hong Kong. From the early 1950s, leading local industrialists associated with the Chinese Manufacturing Association (CMA) repeatedly requested the colonial state to help manufacturing firms find suitable sites. However, throughout Hong Kong's industrialization process, the colonial state demonstrated a great reluctance to help the industrialists in this respect. Even after the reclamation work at Kwun Tong had commenced in 1956,

and despite the strong opposition from local industrialists, new land appropriated from reclamation was sold through public auctions to industries at the *current market price* that consequently led to industrialists having to pay high rent to build or rent factory buildings or units (Chiu, 1996).

As Chiu (1996) points out, the colonial state's decision not to honour local industrialists' request was due to structural and financial reasons. Structurally, the composition of the governing coalition—by excluding local industrialists and including many financial-commercial capitalists in LegCo and Exco—enabled the colonial state to resist the demands from local industrialists. As for the financial reason, the colonial state feared that selling the newly reclaimed land below the current market price would undermine the state's ability to cover the costs of developing these areas, not to mention reaping profits from them. The Kwun Tong model of land development was originally designed to avoid the state treasury's having to incur any large-scale financial burden. But later when the lands were sold through successive public auctions, the project became lucrative, repaid more than the state's investment, and eventually justified the state's policy to sell land by public auction in the name of the financial benefits to the government.

The limited assistance to manufacturers in the form of extending credit to them reflects a similar bias against industrialists. Once again, in the early 1950s, local industrialists had already complained to the government about their precarious financial position and the inadequate support from the financial sector. Some small and medium-sized manufacturing firms could not obtain loans from banks without substantial collateral (Wah Kiu Yat Po, 1955). In 1956, industrialists proposed to the government to set up a specialized banking institution to finance industrial development at lower interest rates. The idea for an industrial bank was first proposed in connection with the Kwun Tong project. In 1958, owing to the industrialists' persistence and seeing no way to ignore manufacturers' demand, the colonial state announced that the idea of an industrial bank was under consideration, and set up a committee to investigate the possibility. Nevertheless, to the disappointment of the manufacturers, the committee recommended against the establishment of an industrial bank:

> The Committee has … been presented with no evidence of any concrete case where an industrial development had failed to secure finance in Hong Kong but could properly have secured it from a specialized industrial bank. This, taken in conjunction with the evidence of the very considerable role

> played by banks in the expansion of industry in recent years, has led us to the conclusion that the need for an industrial bank for the finance of industry in Hong Kong is not proven. (Industrial Bank Committee, 1960, p. 15)

Similar to the case of industrial land provision, the decision not to establish an industrial bank illustrates well how the configuration of state capacity in terms of the colonial state's financial concerns as well as the structural arrangement of the state-capital alliance privileged the financial-commercial capitalists. Afterwards, when the colonial state was asked to rescue ailing manufacturing industries like wig and iron smelting in the 1960s or garment in the 1990s, similar refrain was observed (Chiu, 1996).

4 The Real Magic behind the Hong Kong Miracle

Ironically, the colonial state's bias against industrialists notwithstanding, Hong Kong's manufacturing industry still flourished, becoming the motor for Hong Kong's rapid economic growth. According to Chiu and Lui (2009), between the 1950s and 1961, Hong Kong's manufacturing sector grew rapidly and the sector accounted for 23.6 percent of GDP and 43.0 percent of the colony's total employment by the end of this period. As such, a puzzle is presented: what was the real magic behind Hong Kong's economic miracle? In other words, what were the factors contributing to the boom of Hong Kong's manufacturing industry despite the colonial government's limited assistance to it?

Apart from the laissez-faire explanation, Hong Kong's rapid industrial growth has been commonly attributed to such several factors, including skills of emigrated Shanghaiese entrepreneurs from mainland China (Wong, 1988; Wu, 1988), the economic culture of the population (Wong, 1986), and the hard-working and flexible labour force (Lethbridge & Ng, 1984). Without denying the importance of these factors, we argue that the changing world economy, the Cold War context, and the local political and ideological conditions in the postwar era in combination also played a significant role in propelling and conditioning the particular type of industrialization undertaken in Hong Kong (Chiu & Lui, 2009, p. 27; Landsberg, 1979; Fröbel et al., 1980; Dicken, 1986; So, 1986).

As we have seen in Chap. 1, during the 1950s, the Cold War and the Korean War (thus the embargo) pushed Hong Kong to pursue export-led industrialization. To prevent East Asian states from leaning towards the Chinese Communist regime, the U.S. opened up its markets to East Asian

countries. As a consequence of abundant labour supply, sufficient capital investment and a huge foreign market, manufacturing firms mushroomed in Hong Kong between the 1950s and 1960s. The number of registered factories grew from 3000 in the 1950s to 10,000 in the 1960s (Ma, 1999, pp. 26-27). These firms, once started, could tap into the extensive commercial networks established during Hong Kong's entrepot history (Chiu & So, 1996). As Chu (1988, p. 74) argues, the major factor behind Hong Kong's industrialization actually lies in the multinational trading groups or the "commercial form" of an international subcontracting system that provided Hong Kong with the opportunity to develop low-cost, labour-intensive, export-oriented industries.

Apart from the above changing global and regional geo-political factors, the rise of Hong Kong's manufacturing sector was also assisted by the colony's internal political and ideological conditions. While the colonial state's policy was biased against industrialists, the colonial state generally sided with local capitalists at the expense of working-class interests: labour protection legislation to regulate standard work hours and minimum wage laws were largely absent throughout the colonial era (Siu, 2011). Only since the 1970s serious reforms in labour laws had been put in place. Besides, Hong Kong's trade union movement was also weak and divided due to political and ideological differences between pro-Beijing trade unions and pro-Taiwan trade unions. In line with this divide, trade unions were more concerned with politics than Hong Kong workers' economic livelihood (Chiu & So, 2004; Siu, 2006).

Since the 1960s, Hong Kong's textile manufacturers had imported sophisticated machinery from overseas to upgrade their production technology. Many fashion buyers from Europe and the U.S. began to come to Hong Kong to purchase fabrics and to place orders for finished garments, thus helping to promote the subsequent boom in Hong Kong's garment industry. However, the global market soon came under threat. Quota systems were introduced by many overseas countries to restrict garment imports from Hong Kong. Facing quota restrictions on cotton garments, Hong Kong garment manufacturers then turned to producing garments made with artificial fibres like nylon and mixed yarns (Siu, 2014).

Entering into the 1970s, Hong Kong's manufacturing sector continued to thrive. Its garment industry produced mid-market ready-to-wear products from denim to woven cotton tops, shirts and trousers. In the mid-1970s, one third of the ready-to-wear products on the European market were produced in Hong Kong. At the same time, Hong Kong

garment manufacturers began to recognize the importance of fashion design. The turn from producing mid-market ready-to-wear garments to up-market fashions coincided with the strong demand not only from the European and the U.S. markets but also Hong Kong markets (Chiu & Lui, 1994; Siu, 2014).

More importantly, the fast-changing foreign markets also resulted in the export-oriented industrialization of Hong Kong with a peculiar feature—most of the manufacturing firms were small-to-medium-sized firms, usually employing under 20 persons, with an average establishment size of 33 persons. The majority of the workers, particularly in garment and electronics industries, were "Hong Kong's working daughters" (Salaff, 1981). These small or medium-sized firms advocated flexible employment and "guerrilla" business strategies to cope with the rapidly changing foreign markets (Lee, 1999; Chiu & Lui, 2009).

In short, rather than laissez-faire as the *deux ex machina*, Hong Kong's postwar economic prosperity is a complex outcome of intertwining global, regional and local factors. Globally and regionally, the Cold War and the Korean War set the stage for Hong Kong to undergo export-led industrialization. But the industrialization could not succeed without Hong Kong's pre-war commercial and trading networks, which enabled local manufacturers to tap into foreign markets, especially the U.S. International competition and growing protectionism also forced local manufacturers to pursue product diversification. At the same time, local left-right politics (demonstrated in the divide in the local trade union movement), the colonial state's economic policies disfavouring the working classes' interests, and the small-and-medium-sized firm which could tap into female labour surplus in the population were also important factors contributing to Hong Kong's postwar industrialization.

4.1 A Lost Chance: Horizontal Expansion without Vertical Upgrading

Before turning to Hong Kong's post-colonial era, let us assess the consequence of the particular kind of export-led industrialization undertaken in Hong Kong. As Gereffi and Korzeniewicz (1994) suggests, the way Hong Kong's manufacturers utilized the trading and international subcontracting networks is the "buyer-driven" type in the global governance structures in global commodity chains. Local manufacturers connected to intermediate trading companies which subcontracted orders from large

retailers and global brand-name buyers. This type of governance structure features in its decentralized mode of production, and is prevalent in labour-intensive and consumer goods industries, as Hong Kong's garment industry testifies.

However, one should note that this decentralized, buyer-driven, and labour-intensive manufacturing production could not have been so prolonged if there had been no steady supply of cheap and unskilled labour in the labour market. Interestingly and fortuitously, due to China's unstable political situation between the 1950s and 1970s, successive waves of immigrants from mainland China replenished the labour supply and thus enabled manufacturers to cope with labour shortages (Sit et al., 1979, p. 360, 390; England & Rear, 1981, pp. 77-80). As a result, the arrival of economically active immigrants from mainland China then produced an unintended consequence for Hong Kong of perpetuating this labour-intensive strategy.

As Greenwood (1990, p. 21) rightly points out, "the growth of Hong Kong's GDP in the 1960s and 1970s was made up, in significant degree, by the 'horizontal' expansion of the labour force, i.e. the arrival of a large number of relatively unskilled workers, rather than by the 'vertical upgrading of skills of resident employers and employees". Other than the stable supply of unskilled labour, the lack of state support to upgrade firms' technological level for vertical expansion is yet another important reason. Furthermore, the fact that many Hong Kong manufacturers started as traders and salesmen, rather than engineers, is double-edged too: manufacturers' trader origins enabled them to have high market sensitivity and to react quickly to market signals, but limited their vision so that they lacked long-term planning for vertical upgrading. The consequence of this "horizontal expansion" without "vertical upgrading", as vividly demonstrated in Chiu and Wong's (2004) study of Hong Kong's electronics industries, is "growth without catching up". Not only did Hong Kong's manufacturing firms lack the motivation to seek product innovations, the buyer-driven and trade-led production governance structure also provided much organizational inertia for small and medium-sized firms to expand into large firms. Compared to other major East Asian competitors, such as Japan, Taiwan, Singapore and South Korea, Hong Kong's many signature industries in the 1960s and 1970s (e.g. toys, garments, electronics, plastics industries) gradually lost their competitiveness in the 1980s. If *laissez-faire* may not be the primary contributory factor for Hong Kong's industrial takeoff, it definitely was one of the key backgrounds behind the

demise of manufacturing there. Relative to the intensive support offered by neighbouring states, the Hong Kong colonial state had steadfastly held firm to the non-interventionist, and hence non-supportive, stance towards manufacturing (Chiu et al., 1997). By following "pure" market logic, the only choice for This also paves the way for Hong Kong's de-industrialization since the mid-1980s (Chiu & Lui, 2001).

5 Post-Colonial Hong Kong: The End of Laissez-Faire

One aspect of post-colonial Hong Kong that still rivets the attention of western observers is whether the new "Chinese city" is able to sustain its economic competitiveness vis-à-vis other world cities. Once again, apart from the Heritage Foundation's Index showing Hong Kong has failed to be ranked number one in all of their assessment components, in 2000 the International Monetary Foundation (IMF) also offered a new verdict on Hong Kong's economic competitiveness:

> Hong Kong is roughly as competitive as the average OECD economy … On almost all measures, Hong Kong SAR is neither the most nor the least competitive in the 15-country sample. … Hong Kong has become slightly less competitive in the last decade. The shift in industry mix to services has reduced economy-wide competitiveness. (Zitzewitz, 2000)

As the biggest campaigner for the principles of free trade and free markets, the IMF's verdict on post-colonial Hong Kong actually reflects a significant shift in how many neoliberalists view the Hong Kong government's economic policies. Despite various kinds of state intervention into economic activities in different industries in the colonial era, neoliberal economists and free-trade campaigning organizations still considered Hong Kong to be largely following a free market (if not completely laissez-faire) approach to the economy. However, numerous events happened in post-colonial Hong Kong disappointed many neoliberal economists to the extent that they no longer consider the city as the poster child for a free market economy.

What has Hong Kong done during its post-colonial era to disappoint its neoliberal fans? Perhaps the most important is the change in the post-colonial economic policy rhetoric. In 1998, after the Hong Kong government intervened into Hong Kong's financial markets by using public

money to buy shares of several blue chip stocks when hedge funds speculated on the Hong Kong currency and attacked Hong Kong's financial system, the Chairman of the Hong Kong Monetary Authority quoted the former Financial Secretary of colonial Hong Kong Charles Philip Haddon-Cave[6] to justify their interventions:

> The Government must accept such responsibilities as are necessary to ensure that management decisions are not frustrated by imperfections in the operation of the market mechanism, leading to economic inefficiency or social distress which only the Government can remove. (Yam, 1998)

Already in the 1970s, Cowperthwaite's successor Haddon-Cave discontinued his laissez-faire policy, both in practice and in rhetoric. Haddon-Cave even invented a new term, "positive non-interventionism", to signal a shift away Cowperthwaite's laissez-faire approach. Specifically, Haddon-Cave stressed the importance of the need for the colonial government to shoulder greater responsibility to correct market failures. Though the rhetoric was being revised, many neoliberal economists, Milton Friedman included, still considered Haddon-Cave's positive non-interventionist approach as a modified version of laissez-faireism without deviating a lot from the free-market principle.

In fact, the self-contradictory term "positive non-interventionism" suggested by Haddon-Cave created great confusion for many observers. Some (like Friedman) tried to equate laissez-faire with positive non-interventionism. But as we argue, the two terms differ substantially in terms of the role assigned to the government. While laissez-faire assigns the government a passive and negative role to play in society and economy, positive non-interventionism gives the government an active and positive role to play to "care" for the society and economy. The difference was later re-stated by Donald Tsang (the second Chief Executive of the Hong Kong SAR) in his policy address in 2006:

> During the colonial era in the early-1980s, the then Financial Secretary, Sir Philip Haddon-Cave, in addressing the prevailing needs of social development, broke away from the laissez-faire doctrine and put forward the view that the Government should carefully weigh all relevant factors before deciding to intervene. (Tsang, 2006)

[6] Charles Philip Haddon-Cave (1925-1999) succeeded Cowperthwaite as the Financial Secretary of Hong Kong between 1971 and 1981.

Once Tsang made the above statement to declare the end of laissez-faire in Hong Kong, he quickly suggested another new term to defend the Hong Kong SAR government's new approach to the economy— "big market, small government"—under his administration.

Reflecting on the first fifteen years of post-colonial Hong Kong, one can say that Tsang's new term is an attempt by him and the SAR government to justify the many conflicting government policies launched in post-handover Hong Kong. On the one hand, we see more government intervention into many industries in the post-handover era. Apart from the intervention in the stock market in 1997, the SAR government has introduced new stamp duties on the sale of property, set a poverty line, and, above all, promulgated minimum wage law. All these policies, in the eyes of many neoliberalists, represent a significant departure from free-market principles.

Yet, on the other hand, we should not lose sight of the fact that more de-regulation and the introduction of market elements into public services. For instance, the SAR government privatized most of its previously managed shopping malls in public housing estates by transferring them to a newly listed company called "The Link". The government also allocated many social enterprise projects and lump-sum grants to the social services and welfare sector in the name of boosting service efficiency. Again, we argue, similar to the laissez-faire policy we have examined above, no matter whether it is labelled "positive non-interventionism" or "big market, small government", both are simply rhetorical expressions that did not emerge from academic or ideological beliefs. Rather, these policy vocabularies should be considered as a product of consciously pragmatic political strategies in order for the (post-)colonial state to justify both its intervention and non-intervention when deemed necessary.

6 Concluding Remarks: Hong Kong as an Exemplar of Crony Capitalism?

On 6 October 2006, a month after Donald Tsang declared the "big market, small government" approach to Hong Kong's economy and about a month before Milton Friedman's death,[7] the once-biggest fan of Hong Kong wrote a commentary for the Wall Street Journal entitled, "*Hong*

[7] Milton Friedman died on 16 November 2006, same year as John Cowperthwaite (21 January 2006).

Kong Wrong: What would Cowperthwaite say?" In the commentary, Friedman denounced Tsang's new approach which would destroy the foundation of Hong Kong's prosperity laid down by Cowperthwaite (Friedman, 2006a). To a large extent, the story of Hong Kong's economic miracle and the myth of laissez-faire start with Friedman but also end with Friedman. After Friedman's death, global observers have gradually removed the association of the banner of laissez-faire with Hong Kong. But locally, many people, especially government officials and capitalists, still help circulate the laissez-faire myth to justify their policies and sustain their class interests whenever the public clamours for the SAR government to adopt such measures as increasing corporate taxes, building more public housing to solve housing problems, and introducing standard working-hour legislation. In this respect, as we have repeatedly argued in this chapter, the changing rhetoric of economic policy (from "laissez-faire", to "positive non-interventionism", then to "big market, small government") is best viewed as the product of political calculation and a means to justify colonial and post-colonial government policies.

However, despite the changing rhetoric, perhaps the most persistent phenomenon we have found in this chapter, no matter whether it is in the colonial or post-colonial era, is the strong "state-business alliance" in the city. This has been demonstrated in some historical studies (e.g. Ngo, 1999) and our survey of Hong Kong's banking and manufacturing industries. Recently, this strong alliance has been so obvious that it has led Hong Kong to earn a new image as an exemplar of "crony capitalism" when Hong Kong ranked at the top in *The Economist*'s crony-capitalism index in 2014 (The Economist, 2014).

To sum up, based on the examination of the banking, agricultural and manufacturing industries, we conclude that Hong Kong's colonial economic policy resembled more a type of "selective non-intervention" than laissez-faireism. While there is no doubt that colonial Hong Kong state done the least in promoting manufacturing industries especially in comparison to the other "Little Dragons" (Haggard, 1990), it had not shied from getting its hands dirty in the other sectors. We also find there was a political logic underlining the selective non-intervention approach. It was not ideological or academic beliefs that impelled the colonial state to abstain from intervening in the economy. Rather, it is the result of political calculation. This political logic is clear when we examine the colonial state's limited assistance to industrialists in terms of land provision and setting up of an industrial bank in the 1950s. The composition of the

governing coalition that privileged financial-commercial capitalists, as well as the colonial state's financial stringency together shaped the colonial state's decision whether or not to intervene in a particular industry.

To the question, "What really made the Hong Kong postwar miracle?", we have revealed that the rapid growth of Hong Kong's manufacturing industry, despite limited help from the colonial government, stemmed from a number of factors. To name a few, these factors include: international trading and commercial networks developed in the pre-World War II era, global and regional geo-politics and protectionism, as well as the local politico-ideological divide and manufacturers' business strategies. But we have also seen the perversity in Hong Kong's export-led industrialization: Hong Kong's special way of industrialization— "horizontal expansion" without "vertical upgrading"—very much paves the way for Hong Kong's manufacturing industries to lose their competitiveness vis-à-vis other countries. This detailed and multi-level analysis has provided a new angle for assessing the nature of Hong Kong's economic miracle and its negative consequences, which goes beyond the *standard-definition* laissez-faire narrative.

By the end of the second decade of the twenty-first century, the laissez-faire story is becoming as hollow as ever. Save for a few die-hard neoliberals who blamed Hong Kong's economic stagnation on government meddling that goes wrong, even many conservatives are reviewing their stand on the subject. In the recent debate over the intensification of social movements, and especially among the younger generation, government inaction has been singled out has a prime cause by commentators even from the establishment camp. The role of the state in fermenting the socioeconomic contradictions in Hong Kong SAR will be the subject in later chapters.

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